Company No: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2017

A215117/Liew/Yana/Kuna

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

CONTENTS

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the financial year ended 31 March 2017.

PRINCIPAL ACTIVITIES

The Company is principally engaged in software development and information technology outsourcing.

RESULTS

	RM
Net profit for the year after taxation representing total comprehensive income	1,037,732

DIVIDENDS

No dividends have been paid or declared since the end of the previous financial year. The directors do not recommend any dividend payment in respect of the current financial year.

DIRECTORS

The directors in office during the financial year and during the period from the end of the financial year to the date of the report are:-

Jacob Pillay
Huang Miew Woon
Taibah Binti Abdul Rahman @ Ling Kiong

DIRECTORS' INTERESTS

According to the Register of Directors' Shareholdings required to be kept under Section 59 of the Companies Act 2016, none of the Directors who held office at the end of the financial year held any shares or debentures in the Company or its holding company during the financial year.

OTHER STATUTORY INFORMATION

Before the financial statements of the Company were prepared, the directors took reasonable steps:

(a) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts, and are satisfied that there were no bad debts and adequate allowance had been made for doubtful debts; and

(b) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including the values of current assets as shown in the accounting records of the Company had been written down to an amount which the current assets might be expected so to realise.

At the date of this report, the directors of the Company are not aware of any circumstances:

(a) which would render it necessary to write off bad debts or the making of allowance for doubtful debts inadequate to any material extent; or

(b) which would render the values attributed to the current assets in the financial statements of the Company misleading; or

(c) which have arisen which would render adherence to the existing methods of valuation of assets or liabilities of the Company misleading or inappropriate.

At the date of this report, there does not exist:

(a) any charge on the assets of the Company that has arisen since the end of the financial year which secures the liabilities of any other person; or

(b) any contingent liability in respect of the Company that has arisen since the end of the financial year.

No contingent or other liability of the Company has become enforceable, or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.

At the date of this report, the directors are not aware of any circumstances, not otherwise dealt with in this report or the financial statements of the Company which would render any amount stated in the financial statements of the Company misleading.

OTHER STATUTORY INFORMATION – CONT'D

In the opinion of the directors:-

(i) the result of the Company's operations during the financial year was not substantially affected by any item, transaction or event of a material and unusual nature; and

(ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature which is likely to affect substantially the results of the operations of the Company for the financial year in which this report is made.

HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated in India, as its holding company.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

DIRECTORS' REPORT

AUDITORS

The auditors, Mustapha, Khoo & Co., have indicated their willingness to continue in office.

AUDITORS' REMUNERATION

Details of auditors' remuneration are set out in Note 15 to the financial statements.

Signed on behalf of the Board, as approved by the Board in accordance with a resolution of the Directors,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 21 JUN 2017

Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT BY DIRECTORS

We, Huang Miew Woon and Jacob Pillay, being two of the directors of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do hereby state that, in the opinion of the directors, the financial statements set out on pages 11 to 41 are drawn up so as to give a true and fair view of the financial position of the Company as at 31 March 2017 and financial performance of the Company for the financial year ended 31 March 2017 in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016.

Signed in accordance with a resolution of the Directors,

Huang Miew Woon
Director

Jacob Pillay
Director

Dated: 21 JUN 2017

STATUTORY DECLARATION

I, Jacob Pillay, being the director primarily responsible for the financial management of MINDTECK SOFTWARE MALAYSIA SDN. BHD., do solemnly and sincerely declare that the financial statements set out on pages 11 to 41 are, to the best of my knowledge and belief, correct, and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Notaries Act 1952.

Subscribed and solemnly)
declared by the abovenamed)
at BANGALORE)
)

Jacob Pillay
Director

Before me,

SWORN TO BEFORE ME

Commisioner for Oaths

A. GERARD B.Sc., LL.B.
ADVOCATE & NOTARY
No. 154, RAYAPPA ROAD,
KAMMANAHALLI
BANGALORE - 560 084.

NOTARY
REG NO LAW 260 LCL 2016
A. GERARD
BANGALORE
Metropolitan Area
Expiry Dt 10-12-2021
GOVT. OF KARNATAKA

A215117/Liew/Yana/Kuna

21 JUN 2017

MUSTAPHA, KHOO & CO (AF: 0599)
Chartered Accountants
30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park,
Off Jalan Kuchai Lama, 58200 Kuala Lumpur, Malaysia.
Tel : 603-7981 3337 (4 lines) Fax : 603-7982 5708
E-mail : info@mustaphakhoo.com / mksk_kl@yahoo.com Website : www.mustaphakhoo.com

PrimeGlobal
An Association of Independent Accounting Firms

Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of MINDTECK SOFTWARE MALAYSIA SDN. BHD., which comprise the statement of financial position as at 31 March 2017, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the financial year then ended, and a summary of significant accounting policies, as set out on pages 11 to 41.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2017, and of its financial performance and its cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Company in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Information Other than the Financial Statements and Auditors' Report Thereon

The directors of the Company are responsible for the other information. The other information comprises the information included in the directors' report but does not include the financial statements of the Company and our auditors' report thereon.

Our opinion on the financial statements of the Company does not cover the other information and we do not express any form of assurance conclusion thereon.

mia A21511
Yana/Kuna
PJ Office : No. 23B, Jalan SS 21/60, Damansara Utama, 47400 Petaling Jaya, Selangor, Malaysia.
Tel : 603-7725 7822 Fax : 603-7710 6822 E-mail : mkpj2828@gmail.com
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Malaysian Institute of Accountants
(Established under the Accountants Act 1967)
A Member Firm of MIA

Information Other than the Financial Statements and Auditors' Report Thereon – Cont'd

In connection with our audit of the financial statements of the Company, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements of the Company or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements of the Company that give a true and fair view in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia. The directors are also responsible for such internal control as the directors determine is necessary to enable the preparation of financial statements of the Company that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Company, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Company as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements – Cont'd

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Company, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Company or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements of the Company, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MUSTAPHA, KHOO & CO (AF: 0599)
Chartered Accountants
30-4 & 32-4, Jalan Kuchai Maju 10, Kuchai Entrepreneurs Park,
Off Jalan Kuchai Lama, 58200 Kuala Lumpur, Malaysia.
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Company No.: 718964-U

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 266 of the Companies Act, 2016 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

Mustapha, Khoo & Co
No: AF 0599
Chartered Accountants

Khoo Siong Kee
No.791/04/18 (J/PH)
Partner of the Firm

Kuala Lumpur
Dated: 21 JUN 2017

PJ Office : No. 23B, Jalan SS 21/60, Damansara Utama, 47400 Petaling Jaya, Selangor, Malaysia.
Tel : 603-7725 7822 Fax : 603-7710 6822 E-mail : mkpj2828@gmail.com
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Company No.: 718964-U

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2017

	Note	2017 RM	2016 RM
NON-CURRENT ASSETS			
Plant and equipment	6	23,341	30,478
Intangible asset	7	1	1
		23,342	30,479
CURRENT ASSETS			
Trade and other receivables	8	4,961,554	3,753,691
Amount due from holding company	9	3,000	3,000
Cash in hand and at banks	10	1,243,599	1,397,982
		6,208,153	5,154,673
TOTAL ASSETS		6,231,495	5,185,152
EQUITY AND LIABILITIES			
EQUITY			
Share capital	11	250,000	250,000
Retained profits		4,031,312	2,993,580
TOTAL EQUITY		4,281,312	3,243,580
CURRENT LIABILITIES			
Other payables		1,156,134	1,328,857
Amount due to holding company	9	78,352	20,167
Amount due to related companies	12	715,698	592,548
		1,950,184	1,941,572
TOTAL EQUITY AND LIABILITIES		6,231,496	5,185,152

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 MARCH 2017

	Note	2017 RM	2016 RM
Revenue	13	12,574,607	15,571,612
Cost of sales		(9,875,479)	(12,257,278)
Gross profit		2,699,128	3,314,334
Other income	14	33	38,631
Total income		2,699,162	3,352,965
Administrative and operating expenses	15	(1,661,114)	(1,744,293)
Profit before finance cost and taxation		1,038,048	1,608,672
Finance cost:			
Interest expenses		-	(31,392)
Profit before taxation		1,038,048	1,577,280
Taxation	16	(316)	(500)
Net profit for the year		1,037,732	1,576,780

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 MARCH 2017

	Share capital RM	Retained profits RM	Total RM
2017			
As at 1 April 2016	250,000	2,993,580	3,243,580
Comprehensive income for the year	-	1,037,732	1,037,732
As at 31 March 2017	250,000	4,031,312	4,281,312
2016			
As at 1 April 2015	250,000	1,416,800	1,666,800
Comprehensive income for the year	-	1,576,780	1,576,780
As at 31 March 2016	250,000	2,993,580	3,243,580

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 MARCH 2017

	Note	2017 RM	2016 RM
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before taxation		1,038,048	1,577,280
Adjustments for:			
Depreciation of plant and equipment		13,337	10,702
Interest expense		-	31,392
Operating profit before changes in working capital		1,051,385	1,619,374
Changes in working capital:			
Increase in trade and other receivables		(1,207,863)	(319,045)
Decrease in amount due from holding company		-	5,127
Decrease in other payables		(172,723)	(180,403)
Increase / (Decrease) in amount due to holding company		58,185	(424,175)
Increase / (Decrease) in amount due to related companies		123,150	(100,135)
Net cash (used in) / generated from operating activities		(147,866)	600,743
Interest paid		-	(31,392)
Tax paid		(316)	(500)
Net cash (used in) / from operating activities		(148,182)	568,851
CASH FLOW FROM INVESTING ACTIVITY			
Purchase of plant and equipment		(6,200)	(34,476)
Net cash used in investing activity		(6,200)	(34,476)
Net (decrease) / increase in cash and cash equivalents		(154,382)	534,375
Cash and cash equivalents at the beginning of the year		1,397,982	863,607
Cash and cash equivalents at the end of the year	17	1,243,600	1,397,982

The accompanying notes form an integral part of these financial statements.

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
(Incorporated in Malaysia)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2017

1. PRINCIPAL ACTIVITIES AND GENERAL INFORMATION

The Company is principally engaged in software development and information technology outsourcing.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a limited company, incorporated and domiciled in Malaysia. The registered office of the Company is situated at Unit16-5, Level 5, Galleria @ Cyberjaya, Jalan Tecknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

The principal place of business of the Company is located at Unit16-5, Level 5, Galleria @ Cyberjaya, Jalan Tecknokrat 6, Cyber 5, 63000 Cyberjaya, Selangor Darul Ehsan.

All the amounts stated in the financial statements are in Ringgit Malaysia.

2. HOLDING COMPANY

The Directors regard Mindteck (India) Limited, a company incorporated and domiciled in India, as its holding company.

3. DATE OF AUTHORISATION OF ISSUE

The financial statements were authorised for issue by the Board of Directors in accordance with a resolution of the directors on 21 JUN 2017

4. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of preparation

The financial statements of the Company have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRSs"), International Financial Reporting Standards and the requirements of the Companies Act, 2016 in Malaysia.

The financial statements of the Company have been prepared under the historical cost basis, except as otherwise disclosed in the significant accounting policies.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(i) Adoption of New MFRS and Amendments to MFRSs

The Company had adopted the following new MFRS and amendments to MFRSs that are mandatory for the current financial year:-

<u>New MFRS</u>

MFRS 14	Regulatory Deferral Accounts

<u>Amendments to MFRSs</u>

MFRS 11	Accounting for Acquisitions of Interests in Joint Operations
MFRS 127	Equity Method in Separate Financial Statements
MFRS 10, MFRS 12 and MFRS 128	Investment Entities: Applying the Consolidation Exception
MFRS 101	Disclosure Initiatives
MFRS 116 and MFRS 138	Clarification of Acceptable Methods of Depreciation and Amortisation
MFRS 116 and MFRS 141	Agriculture: Bearer Plants
Annual Improvements to MFRSs 2012 - 2014 Cycle	

The adoption of the above new MFRS and amendments to MFRSs do not have any effect on the financial statements of the Company.

(ii) New MFRSs, Amendments to MFRSs and New IC Interpretation that are issued, but not yet effective and have not been early adopted

The Company have not adopted the following new MFRSs, Amendments to MFRSs and New IC Interpretation that have been issued as at the date of authorisation of these financial statements but are not yet effective for the Company:-

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(ii) New MFRSs, Amendments to MFRSs and New IC Interpretation that are issued, but not yet effective and have not been early adopted – Cont'd

		Effective for financial periods beginning on or after
New MFRSs		
MFRS 9	Financial Instruments (IFRS 9 issued by IASB in July 2014)	1 January 2018
MFRS 15	Revenue from Contracts with Customers	1 January 2018
MFRS 16	Leases	1 January 2019
Amendments to MFRSs		
MFRS 2	Classification and Measurement of Share-based Payment Transactions	1 January 2018
MFRS 4	Applying MFRS 9 Financial Instruments with MFRS 4 Insurance Contracts	MFRS 4 Para 46 & 48
MFRS 10 and MFRS 128	Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Deferred
MFRS 15	Clarifications to MFRS 15	1 January 2018
MFRS 107	Disclosure Initiatives	1 January 2017
MFRS 112	Recognition of Deferred Tax Assets for Unrealised Losses	1 January 2017
MFRS 140	Transfers of Investment Property	1 January 2018
Annual Improvements to MFRSs 2014 - 2016 Cycle		1 January 2017
Annual Improvements to MFRSs 2014 - 2016 Cycle		1 January 2018
New IC Interpretation		
IC Int 22	Foreign Currency Transactions and Advance Consideration	1 January 2018

The Company will adopt the above pronouncements when they become effective in the respective financial periods. These pronouncements are not expected to have any effect to the financial statements of the Company upon their initial application. A brief discussion on the above significant new MFRSs and amendments to MFRSs are summarised below.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(a) Basis of preparation – Cont'd

(ii) New MFRSs, Amendments to MFRSs and New IC Interpretation that are issued, but not yet effective and have not been early adopted – Cont'd

MFRS 9 Financial Instruments

In November 2014, MASB issued the final version of MFRS 9 Financial Instruments which reflects all phases of the financial instruments project and replaces MFRS 139 Financial Instruments: Recognition and Measurement and all previous version of MFRS 9. The standard introduces new requirements for classification and measurement, impairment and hedge accounting. MFRS 9 is effective for annual periods beginning on or after 1 January 2018, with early application permitted. Retrospective application is required, but comparative information is not compulsory. The Company is currently examining the financial impact of adopting MFRS 9.

(b) Plant and equipment and depreciation

Plant and equipment are initially stated at cost. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance costs are charged to profit or loss during the financial year in which they are incurred. Costs include expenditure that is directly attributable to the acquisition of the plant and equipment.

Subsequent to recognition, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 4(c).

Depreciation is provided on the straight-line basis calculated so as to write off the cost of each plant and equipment over the expected useful life of the plant and equipment concerned.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(b) Plant and equipment and depreciation – Cont'd

The estimated useful lives are as follows:

Office equipment	5 years
Furniture and fittings	5 years
Computers	2 years

The residual values, useful lives and depreciation method of plant and equipment are reviewed, and adjusted if appropriate, at each reporting date to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. The difference between the net disposal proceeds, if any and the net carrying amount is recognised in the profit or loss.

(c) Impairment of assets

(i) Financial assets

All financial assets are assessed at each reporting date whether there is any objective evidence of impairment as a result of one or more events having an impact on the estimated future cash flows of the asset. Losses expected as a result of future events, no matter how likely, are not recognised.

An impairment loss in respects of loans and receivables is recognised in the profit or loss and is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed. The amount of the reversal is recognised in profit or loss.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(c) Impairment of assets – Cont'd

(ii) Other assets

The carrying amount of other assets are reviewed at the end of each reporting period to determine whether there is any indication of impairment.

If any such indication exists, then the asset's recoverable amount is estimated. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash-generating unit").

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks to the asset.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds it recoverable amount.

Impairment losses are recognised in profit or loss. Impairment losses recognised in respects of cash-generating units are allocated to reduce the carrying amount of the assets in the unit (groups of units) on a pro rata basis.

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment loss are credited to profit or loss in the financial year in which the reversals are recognised.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(d) Cash and cash equivalents

Cash and cash equivalents for the purposes of the cash flow statements comprise cash in hand and at banks, demand deposits, deposits pledged with financial institutions, bank overdrafts, and short term, highly liquid investments readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

(e) Equity instruments

Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from proceeds.

Dividends on ordinary shares are recognized as liabilities when approved for appropriation.

(f) Provisions

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

Onerous contracts

Provisions for onerous contracts are recognised when the expected benefits to be derived by the Company from a contract are lower than the unavoidable costs of meeting the obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established the Company recognises any impairment loss on the assets associated with that contract.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(f) Provisions – Cont'd

Contingent liabilities

Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote.

(g) Income tax

Income tax for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted or substantially enacted at the reporting date.

Deferred tax is recognised in full, using the statements of financial position liability method, on temporary differences arising at the reporting date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised. However, deferred tax is not accounted for if the temporary difference arises from goodwill or from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction, affects neither accounting nor taxable profit or loss.

Deferred tax is determined using the tax rates that are expected to apply in the financial year when the asset is realised or the liability is settled, based on the tax rates that have been enacted or substantively enacted at the reporting date. Deferred tax is recognised in the statements of comprehensive income, except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also recognised directly in equity, or when it arises from a business combination that is an acquisition, in which case the deferred tax is included in the resulting goodwill.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(h) Foreign currencies

(i) Functional and presentation currency

The financial statements are presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

(ii) Foreign currency transactions

In preparing the financial statements of the Company, transactions in currencies other than the Company's functional currency (foreign currencies) are recorded in the functional currencies using the exchange rates prevailing at the dates of the transactions. At each reporting date, monetary items denominated in foreign currencies are translated at the rates prevailing on the reporting date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not translated.

Exchange differences arising on the settlement of monetary items, and on the translation of monetary items, are included in profit or loss for the financial year. Exchange differences arising on the translation of non-monetary items carried at fair value are included in the profit or loss for the financial year except for the differences arising on the translation of non-monetary items in respect of which gains and losses are recognised directly in equity. Exchange differences arising from such non-monetary items are also recognised directly in equity.

The principal closing rate used in the translation of foreign currency amounts was as follows:

	2017	2016
	RM	RM
1 US dollar	4.427	3.922
1 Singapore dollar	3.167	2.902
1 EURO	4.726	4.438

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(i) Revenue recognition

(i) Services rendered

The Company derives its revenue primarily from software development and consultancy services. Arrangements with customers for software development and consultancy services are either on a fixed price, fixed timeframe or on a time and material basis.

Revenue on time-and-material contracts are recognised as the related services are performed and revenue from the end of the last billing to the balance sheet date is recognised as unbilled revenues. Revenue from fixed-price, fixed-timeframe contracts is recognised as per the percentage-of-completion method. Efforts expended have been used to measure progress towards completion as there is a direct relationship between input and productivity. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the period in which such losses become probable based on the current contract estimates.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Advances received for services are reported as client deposits until all conditions for revenue recognition are met.

The Company accounts for volume discounts and pricing incentives, if any, to customers by reducing the amount of discount from the amount of revenue recognised at the time of sale. The Company presents revenues net of sales and value-added taxes in its profit and loss accounts (income statement).

(ii) Interest income

Interest income is recognised in profit or loss as it accrues, taking into account the effective yield on the assets unless collectability is in doubt, in which case it is recognised on receipt basis.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(j) Employee benefits

(i) Short term employees benefits

Wages, salaries, paid annual leave and sick leave, bonuses and non-monetary benefits are measured on an undiscounted basis and are recognized in profit or loss in the period in which the associated services are rendered by employee of the Company.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). Such contributions are recognised as an expense in the statements of comprehensive income as incurred.

(k) Cash flow statement

The Company adopts the indirect method in the preparation of cash flow statement.

(l) Financial instruments

Arising from the adoption of MFRS 139, Financial Instruments: Recognition and Measurement, financial instruments are categorised and measured using accounting policies as mentioned below:

(i) Initial recognition and measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Company becomes a party to the contractual provisions of the instrument.

A financial instrument is recognised initially, at its fair value plus, in the case of a financial instrument not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial instrument.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(ii) Financial instrument categories and subsequent measurement

The Company categories financial instruments as follows:

(i) Financial assets

(a) Financial assets at fair value through profit or loss

Financial assets are classified as financial assets at fair value through profit or loss if they are held for trading or are designated as such upon initial recognition. Financial assets held for trading are derivatives (including separated embedded derivatives) or financial assets acquired principally for the purpose of selling it in the near future.

Subsequent to initial recognition, financial assets at fair value through profit or loss are measured at fair value. Any gains or losses arising from changes in fair value are recognised in profit or loss. Net gains or net losses on financial assets at fair value through profit or loss do not include exchange differences, interest and dividend income. Exchange differences, interest and dividend income on financial assets at fair value through profit or loss are recognised separately in profit or loss as part of other losses or other income.

Financial assets at fair value through profit or loss could be presented as current or non-current. Financial assets that is held primarily for trading purposes are presented as current whereas financial assets that is not held primarily for trading purposes are presented as current or non-current based on the settlement date.

(b) Loans and receivables

Financial assets with fixed or determinable payments that are not quoted in an active market are classified as loans and receivables.

Subsequent to initial recognition, loans and receivables are measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the loans and receivables are derecognised or impaired, and through the amortisation process.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(ii) Financial instrument categories and subsequent measurement – Cont'd

(i) Financial assets – Cont'd

(b) Loans and receivables – Cont'd

Loans and receivables are classified as current assets, except for those having maturity dates later than 12 months after the reporting date which are classified as non-current.

(c) Held to maturity investments

Financial assets with fixed or determinable payments and fixed maturity are classified as held-to-maturity when the Company has the positive intention and ability to hold the investment to maturity.

Subsequent to initial recognition, held-to-maturity investments are measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the held-to-maturity investments are derecognised or impaired, and through the amortisation process.

Held-to-maturity investments are classified as non-current assets, except for those having maturity within 12 months after the reporting date which are classified as current.

(d) Available-for-sale financial assets

Available-for-sale financial assets are financial assets that are designated as available for sale or are not classified in any of the three preceding categories.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(ii) Financial instrument categories and subsequent measurement – Cont'd

(i) Financial assets – Cont'd

(d) Available-for-sale financial assets – Cont'd

After initial recognition, available-for-sale financial assets are measured at fair value. Any gains or losses from changes in fair value of financial assets classified as available-for-sale are recognised directly in other comprehensive income, except that impairment losses, foreign exchange gains and losses on monetary instruments and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is derecognised. Interest income calculated using the effective interest method is recognised in profit or loss. Dividends on an available-for-sale equity instrument are recognised in profit or loss when the Company's right to receive payment is established.

Investments in equity instruments whose fair value cannot be reliably measured are measured at cost less impairment loss.

Available-for-sale financial assets are classified as non-current assets unless they are expected to be realised within 12 months after the reporting date.

All financial assets are subject to review for impairment (Note 4(c)(i)).

(ii) Financial liabilities

(a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(ii) Financial instrument categories and subsequent measurement – Cont'd

(ii) Financial liabilities – Cont'd

(a) Financial liabilities at fair value through profit or loss – Cont'd

Financial liabilities held for trading include derivatives entered into by the Company that do not meet the hedge accounting criteria. Derivative liabilities are initially measured at fair value and subsequently stated at fair value, with any resultant gains or losses recognised in profit or loss. Net gains or losses on derivatives include exchange differences.

(b) Other financial liabilities

The Company's other financial liabilities include trade payables and other payables.

Trade and other payables are recognised initially at fair value plus directly attributable transaction costs and subsequently measured at amortised cost using the effective interest method.

Loans and borrowings are initially recognised at fair value, net of transaction costs incurred, and subsequently measured at amortised cost using the effective interest method. Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

For other financial liabilities, gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

4. SIGNIFICANT ACCOUNTING POLICIES – CONT'D

(l) Financial instruments – Cont'd

(iii)Equity

An equity instrument is any contract that evidences a residual interest in the assets of the Company after deducting all of its liabilities. Ordinary shares are classified as equity instruments.

Ordinary shares are recorded at the nominal value and proceeds in excess of the nominal value of shares issued, if any, are accounted for as share premium. Both ordinary shares and share premium are classified as equity. Transaction cost of an equity transaction are accounted for as a deduction from equity, net of any related income tax benefit. Otherwise, they are charged to profit and loss.

Dividends to shareholders are recognised in equity in the period in which they are declared.

(iv)Derecognition

A financial asset or part of it is derecognised when, and only when the contractual rights to the cash flows from the financial asset expire or the financial asset is transferred to another party without retaining control or substantially all risks and rewards of the asset. On derecognition of a financial asset, the difference between the carrying amount and the sum of the consideration received (including any new asset obtain less any new liability assumed) and any cumulative gain or loss that previously recognised in other comprehensive income is reclassified from equity to profit or loss.

A financial liability or part of it is derecognised when, and only when the obligation specified in the contract is discharge or cancelled or expires. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS

Estimates and judgments are continually evaluated by the Directors and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The estimates and assumptions that affect the application of the Company's accounting policies and have a significant risk of causing a material adjustment to the carrying amounts of assets, liabilities, income and expenses are outlined below:-

(i) Depreciation of plant and equipment

The cost of plant and equipment is depreciated on the straight-line basis over the assets' useful lives. The management estimates the range of useful lives of these plant and equipment to be 2 to 5 years. However, any changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised.

(ii) Impairment of assets other than goodwill

The Company assesses impairment of an asset whenever the events or changes in circumstances indicated that the carrying amount of the asset may not be recoverable. Recoverable amount is measured at the higher of the fair value less cost to sell for the asset and its value-in-use. The value-in-use is the net present value of the projected future cash flow derived from the asset discounted at an appropriate discount rate.

In determining the recoverable amount of an asset, the management is required to make an estimate of the expected future cash flows based on historical, sector and industry trends, general market and economic conditions, changes in technology and other available information and also to apply a suitable discount rate in order to determine the present value of those cash flows.

5. CRITICAL ACCOUNTING ESTIMATES AND JUDGMENTS – CONT'D

(iii) Allowance for doubtful debts

Allowance for doubtful debts is made based on the assessment of the recoverability of receivables. Allowances are made on receivables where events or changes in circumstances indicated that the carrying amounts may not be recoverable. The management has given due consideration to all pertinent information relating to the ability of the debtors to settle the debts which include historical bad debt, customer concentrations and creditworthiness, current economic trends and changes in customer payment terms when making a judgment to evaluate the adequacy of the allowance for doubtful debts. Where the expectation is different from the original estimate, such difference will impact the carrying value of receivables.

(iv) Income taxes

There are certain transactions and calculations for which the ultimate tax determination may be different from the initial estimate. Tax liabilities are recognised based on the Company's understanding of the prevailing tax laws and estimates of whether such taxes will be due in the ordinary course of business.

Where the final outcome is different from the amounts that were initially recognised, such difference will impact the income tax and deferred tax provisions in the period in which such determination may be different from the initial estimate.

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NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 MARCH 2017

6. PLANT AND EQUIPMENT

	Office equipment RM	Furniture and fittings RM	Computers RM	Total RM
Net carrying amount as at 1 April 2015	576	6,128	-	6,704
Additions	-	24,640	9,836	34,476
Depreciation charge	(187)	(6,857)	(3,658)	(10,702)
Net carrying amount as at 31 March 2016	389	23,911	6,178	30,478
Additions	465	2,787	2,948	6,200
Depreciation charge	(212)	(7,199)	(5,926)	(13,337)
Net carrying amount as at 31 March 2017	642	19,499	3,200	23,341
Net carrying amount as at 31 March 2016				
Cost	5,440	60,025	42,603	108,068
Accumulated depreciation	(5,051)	(36,114)	(36,425)	(77,590)
Net carrying amount	389	23,911	6,178	30,478
Net carrying amount as at 31 March 2017				
Cost	5,905	62,812	45,551	114,268
Accumulated depreciation	(5,263)	(43,313)	(42,351)	(90,927)
Net carrying amount	642	19,499	3,200	23,341

7. INTANGIBLE ASSET

	Software RM
Net carrying amount as at 1 April 2015	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2016	1
Additions	-
Amortisation	-
Net carrying amount as at 31 March 2017	1
Net carrying amount as at 31 March 2016	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1
Net carrying amount as at 31 March 2017	
Cost	4,294
Amortisation	(4,293)
Net carrying amount	1

8. TRADE AND OTHER RECEIVABLES

	2017 RM	2016 RM
Trade receivables	4,814,949	3,450,193
Less: Allowance for doubtful debts	(23,919)	(23,919)
	4,791,030	3,426,274
Other receivables, deposits and prepayments	170,524	327,417
	4,961,554	3,753,691

9. AMOUNT DUE FROM / (TO) HOLDING COMPANY

Amount due from holding company is unsecured, interest free and repayable on demand in cash and consist of:

	2017 RM	2016 RM
Trade	3,000	3,000

9. AMOUNT DUE FROM / (TO) HOLDING COMPANY – CONT'D

Amount due to holding a company is unsecured, interest free and repayable on demand in cash and consist of:

	2017	2016
	RM	RM
Non-trade	78,352	20,167

10. CASH IN HAND AND AT BANKS

	2017	2016
	RM	RM
Cash in hand	3,305	625
Cash at banks	1,240,294	1,397,357
	1,243,599	1,397,982

11. SHARE CAPITAL

	2017	2016
	RM	RM
Issued and fully paid:		
250,000 ordinary shares	250,000	250,000

12. AMOUNT DUE TO RELATED COMPANIES

Amount due to related companies is unsecured, interest free and repayable on demand in cash and consist of:

	2017	2016
	RM	RM
Non-trade	715,698	592,548

13. REVENUE

Revenue represents invoiced value of service provided.

14. OTHER INCOME

	2017 RM	2016 RM
Gain on unrealised foreign exchange	-	37,869
Interest income	33	762
	33	38,631

15. ADMINISTRATIVE AND OPERATING EXPENSES

	2017 RM	2016 RM
Included in the above are the following expenses:-		
Auditors' remuneration		
-Current year	8,796	8,070
-Under provision in previous year	730	-
Depreciation of plant and equipment	13,337	10,702
Realised foreign exchange losses	22,206	-
Rental of premise	49,872	39,936
Unrealised foreign exchange losses	41	119,458

16. TAXATION

	2017 RM	2016 RM
Under provision of tax in prior year	316	500

No provision for taxation is required as the Company is in a pioneer status.

A reconciliation of income tax expenses applicable to profit before taxation at the statutory income tax rate to the income tax expenses at the effective income tax rate of the Company is as follows:

	2017 RM	2016 RM
Profit before taxation	1,038,048	1,577,280
Income tax using Malaysia tax rate at 24% (2016: 24%)	249,131	378,547
Tax effects of non-deductible expenses	12,702	8,301
Chargeable income exempted from tax	(261,833)	(386,848)
Under provision of tax in prior year	316	500
Tax expense	316	500

16. TAXATION – CONT'D

On 6 July 2006, the Company was granted Multimedia Super Corridor-Status ("MSC-Status") by Multimedia Development Corporation Sdn. Bhd.. The financial incentive awarded to the Company is pioneer status under Section 4A of the Promotion of Investments Act, 1986 ("PAI"), with a ten years income tax exemption effective from Year of Assessment ("YA") 2007.

17. CASH AND CASH EQUIVALENTS

	2017 RM	2016 RM
Cash in hand	3,305	625
Cash at banks	1,240,294	1,397,357
	1,243,599	1,397,982

18. EMPLOYEE INFORMATION

	2017 RM	2016 RM
Staff costs - salaries and wages	9,119,376	11,769,312
Staff costs - staff welfare	37,117	105,349
Defined contribution plan	240,353	235,364
Leave pay	14,105	1,521
	9,410,951	12,111,546

19. RELATED PARTY TRANSACTION

The Company has related party relationships with the following parties:

Name of related parties	Relationship
Mindteck (India) Limited	Holding company
Mindteck Singapore Pte Ltd	Fellow subsidiary
Mindteck Inc	Fellow subsidiary

19. RELATED PARTY TRANSACTION – CONT'D

(a) Related Party Transactions

	2017 RM	2016 RM
Mindteck (India) Limited		
- Other operating expenses recharged	78,352	20,167
Mindteck Singapore Pte Ltd		
- Other operating expenses recharged	715,501	592,548
Mindteck Inc		
- Other operating expenses recharged	197	-

(b) Compensation of key management personnel

No compensation was paid to the key management personnel of the Company during the financial year.

20. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Company's financial risk management policy seeks to ensure that adequate financial resources are available for the development of the Company's business whilst managing its risks. The Company operates within clearly defined guidelines that are approved by the Board and the Company's policy is not to engage in speculative transactions.

The main areas of financial risks faced by the Company and the policy in respect of the major areas of treasury activity are set out as follows:-

(i) Foreign currency risk

The Company is exposed to foreign currency risk as a result of its normal trading activities, where the currency denomination differs from the local currency, Ringgit Malaysia (RM). The Company's policy is to minimise the exposure to transaction risk by matching foreign currency income against foreign currency costs.

20. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(i) Foreign currency risk – Cont'd

The net unhedged financial assets and financial liabilities of the Company that are denominated in foreign currencies are as follows:

	2017 RM	2016 RM
Amount due from holding company		
USD Dollar	3,000	3,000
Amount due to related companies		
SGD	715,698	592,548
Amount due to holding company		
USD Dollar	78,352	20,167

(ii) Credit risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. Trade receivables are typically unsecured and are derived from revenue earned from customers primarily located in Malaysia. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business.

(iii)Liquidity risk

The Company seeks to achieve a balance between certainty of funding and a flexible, cost-effective borrowing structure. This is to ensure that at the minimum, all projected net borrowing needs are covered by committed facilities. Also, the objective for debt maturity is to ensure that the amount of debt maturing in any one year is not beyond the Company's means to repay and refinance.

20. FINANCIAL INSTRUMENTS – CONT'D

(a) Financial risk management objectives and policies – Cont'd

(iv) Interest rate risk

The Company's income and operating cash flows are substantially independent of the changes in market interest rates.

(v) Market risk

The Company does not have any quoted investments and hence is not exposed to market risk.

(b) Fair value of financial instruments

Fair value is defined as the amount at which the financial instruments can be exchanged between knowledgeable willing parties in an arm's length transaction other than in a forced sale or liquidation.

The following methods and assumptions are used to estimate the fair value of each class of financial assets and financial liabilities of the Company:-

(i) Cash and bank balances

The carrying amount of cash and bank balances approximate fair value due to the relatively short term maturity of these instruments.

(ii) Receivables and payables

The carrying amounts of receivables and payables are reasonable estimates of fair value because of their short maturity periods.

(c) Credit quality of financial assets

	Note	2017 RM	2016 RM
Loans and Receivables			
Assets as per reporting date			
- Trade and other receivables	8	4,961,554	3,753,691
- Amount due from holding company	9	3,000	3,000
- Cash and cash equivalents	17	1,243,599	1,397,982
		6,208,153	5,154,673

20. FINANCIAL INSTRUMENTS – CONT'D

(c) Credit quality of financial assets – Cont'd

	Note	2017 RM	2016 RM
Loans and Payables			
Liabilities as per reporting date			
- Other payables		1,156,134	1,328,857
- Amount due to holding company	9	78,352	20,167
- Amount due to related companies	12	715,698	592,548
		1,950,184	1,941,572

(d) Category of financial instruments

	2017 RM	2016 RM
Receivables		
Counterparties without external credit rating		
- Existing customer less than 6 months with no defaults in the past	4,791,030	3,426,274
Related parties		
- Related parties more than 6 months with no defaults in the past	3,000	3,000
	4,794,030	3,429,274
Cash at banks		
- AAA	1,240,294	1,397,357

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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DETAILED PROFIT AND LOSS ACCOUNTS
FOR THE YEAR ENDED 31 MARCH 2017

	2017 RM	2016 RM
Revenue	12,574,607	15,571,612
Cost of sales (APPENDIX I)	(9,875,479)	(12,257,278)
Gross profit	2,699,128	3,314,334
Other income:		
Gain on unrealised foreign exchange	-	37,869
Interest income	33	762
Total income	2,699,162	3,352,965
Administrative and operating expenses (APPENDIX II)	(1,661,114)	(1,744,293)
Profit before finance cost and taxation	1,038,048	1,608,672
Finance cost:		
Interest expenses	-	(31,392)
Profit before taxation	1,038,048	1,577,280
Taxation	(316)	(500)
Net profit for the year after taxation	1,037,732	1,576,780
Retained profits brought forward	2,993,580	1,416,800
Retained profits carried forward	4,031,312	2,993,580

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX I

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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COST OF SALES
FOR THE YEAR ENDED 31 MARCH 2017

	2017 RM	2016 RM
Employee pass expenses	147,515	205,947
EPF	149,310	192,533
Insurance	34,980	101,796
Mobilisation and other	6,791	1,403
Project supplies	2,809	-
Salaries, wages and related staff costs	8,795,025	11,425,207
Socso	63,747	12,743
Transport expenses	675,302	317,649
	9,875,479	12,257,278

Company No.: 718964-U

FOR MANAGEMENT PURPOSES ONLY
APPENDIX II

MINDTECK SOFTWARE MALAYSIA SDN. BHD.
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ADMINISTRATIVE AND OPERATING EXPENSES
FOR THE YEAR ENDED 31 MARCH 2017

	2017 RM	2016 RM
Auditors' remuneration		
-Current year	8,796	8,070
-Under provision in previous year	730	-
Bank charges	3,454	3,373
Bonus	8,320	36,936
Books and publications	-	565
Corporate finance fees	1,028,204	906,994
Depreciation of plant and equipment	13,337	10,702
Employee pass expenses	3,900	3,655
EPF	23,635	28,849
Filing and certification fees	-	150
Hire charges	4,560	4,230
Insurance	2,137	3,553
Meals and entertainments	596	1,025
Medical expenses	-	8,265
Membership fee	-	11,111
Mobilisation and other	-	1,824
Office repair and maintenance	13,190	6,431
Postage and courier	5,088	7,514
Printing and stationery	4,014	1,910
Professional fees	31,903	17,296
Realised foreign exchange losses	22,206	-
Recruitment and placement fees	67,479	76,480
Rental of premise	49,872	39,936
Salary and leave encashment	338,456	345,626
Socso	3,661	1,239
Stamping fee	-	29,454
Telephone domestic	21,014	15,547
Travel airfare - International and domestic	-	35,791
Travel local	-	12,085
Unrealised foreign exchange losses	41	119,458
Utilities	6,521	6,224
	1,661,114	1,744,293